

07 MAY 2026

OPEN-SOURCE ASSESSMENT

GLOBAL SECURITY & INTELLIGENCE BRIEF

EDITION 2026-05-08

▷ GLOBAL SECURITY / 07 MAY 2026 / SIX THEATRES

GLOBAL SECURITY & INTELLIGENCE BRIEF

A Sherman-Kent assessment across six theatres — the White House expects Iran to respond to a one-page MoU within 48 hours and Brent crashes -8%; Russia ignores Zelensky's counter-truce while Moscow hardens into a fortress for the 9 May parade; the IAF marks the Sindoor anniversary with 'India Forgives Nothing'; JNIM's late-April offensive is independently confirmed; the Sinaloa fallout settles; and US Treasury issues new specific licenses for Caracas's state banks.

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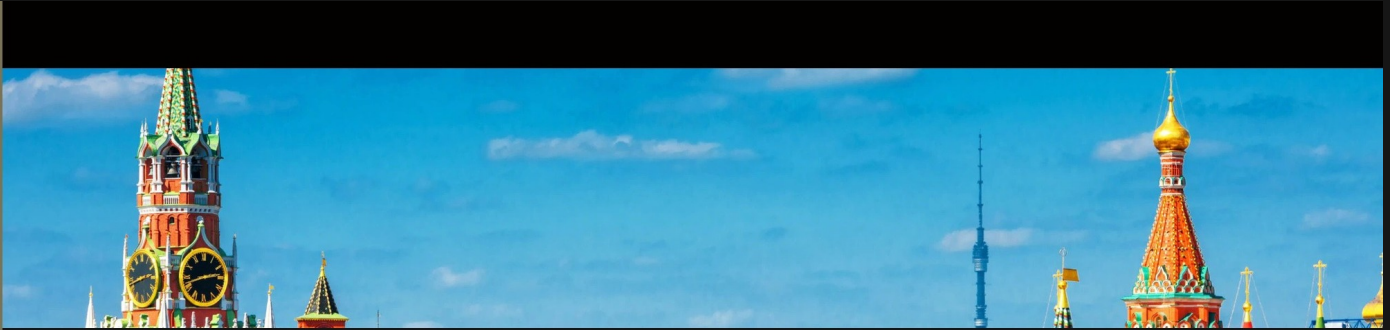
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METHOD

▷ EXFIL



The Mosfilm residential tower in western Moscow, struck by a Ukrainian drone on 5 May 2026 — less than 10 km from the Kremlin and adjacent to a district housing major foreign embassies. Ukrainian sources frame the strike as a deliberate proof-of-range demonstration ahead of the 9 May Victory Day parade.

PHOTO · BBC NEWS / SOCIAL MEDIA HANDOUT

01 / RUSSIA / UKRAINE

MOSCOW FORTRESS

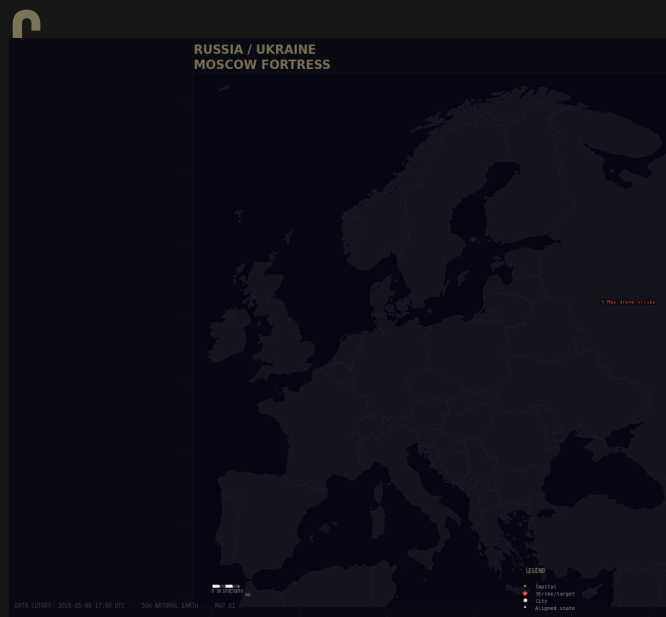
Russia ignored Zelensky's midnight 5–6 May counter-truce, conducting at least 20 airstrikes with 70+ glide bombs through the morning of 6 May. ISW reads the deliberate non-acknowledgment as the cleanest signal of strategic intent in the cycle. Ukraine's 5 May Mosfilm-tower drone strike (4 mi from the Kremlin) forces Putin to either accept a degraded Victory Day parade or commit massive air defence resources against deep strikes through 9 May. Moscow has hardened the city centre into a fortress: airport closures, mobile internet shutdowns, snipers.

▷ BOTTOM LINE UP FRONT

RUSSIA / UKRAINE

KEY JUDGMENTS

THE STORY



► **MAP Moscow Fortress** — territorial & operational picture, 7 May 2026.

The 5-6 May ceasefire episode provides the clearest evidence to date of Russia's systematic use of ceasefire declarations as information warfare tools. Ukraine unilaterally enacted a ceasefire starting at midnight on the night of 5-6 May in response to Russia's declared Victory Day ceasefire for 8-9 May. President Zelensky offered the ceasefire on 4 May, roughly an hour after the Russian Ministry of Defense announced its own ceasefire. The Kremlin did not acknowledge Zelensky's statement.¹

Russian forces conducted at least 20 air strikes with over 70 glide bombs overnight and on the morning of 6 May. The Ukrainian Air Force reported that Russian forces launched two Iskander-M ballistic missiles, one Kh-31 cruise missile, and 108 drones against Ukraine between 1830 on 5 May to 0800 on 6 May. These strikes killed at least 21 civilians and injured at least 82. In Zaporizhia City, two missiles killed 12 civilians and injured 51. In Kramatorsk, three FAB-250 glide bomb strikes killed at least five and injured at least 12. In Dnipro City, a ballistic missile killed at least four and injured at least 19.¹

Russian and occupation officials then accused Ukraine of violating its own ceasefire by citing Ukrainian strikes against occupied Dzhankoy, Crimea, conducted during the late night of 5 May—before the ceasefire began at

midnight. Crimean occupation head Sergei Aksyonov claimed just before 2230 local time on 5 May that Ukrainian drones were targeting Crimea, then claimed just 10 minutes after midnight that Ukrainian forces struck Dzhankoy. Two Russian State Duma deputies acknowledged that the strike occurred shortly before the ceasefire. This accusation is not compelling: combat missions that occur before a ceasefire do not violate the ceasefire, and Russian forces have previously conducted strikes right up to the start of their own ceasefires.¹

Strategic Depth Strike Capability

The 6 May strike on the VNIIR-Progress plant in Cheboksary, Republic of Chuvashia, represents a qualitative escalation in Ukraine's strike capability. President Zelensky stated that Ukrainian forces used F-5 Flamingo missiles launched at a distance of over 1,500 kilometers. Geolocated footage shows six Flamingo missiles and an An-196 "Lyutyi" drone striking the plant. The VNIIR-Progress plant produces receivers and antennas for Russia's GLONASS, GPS, and Galileo systems, and Kometa electronic warfare-resistant navigation components used in a variety of long-range drones and missiles. Cheboksary is only 300 kilometers from the Alabuga Special Economic Zone in Tatarstan, where Russia produces many of its Shahed-type drones.²

The simultaneous strike on the Kirishi Oil Refinery in Leningrad Oblast forced a complete operational halt. NASA FIRMS data shows heat anomalies near the refinery. Reuters reported that the strike damaged three of the four crude distillation units and several secondary units. The Kirishinefteorgsintez oil refinery has an annual refining capacity of 20 to 21 million tons of oil per year, making it one of the three largest oil refineries in Russia.²

These strikes are part of an intensified long-range campaign. Ukrainian forces have recently targeted several major Russian cities, including Moscow, Chelyabinsk, Yekaterinburg, Primorsk, Ust-Luga, Tuapse, and Novorossiysk. The Ukrainian General Staff reported that strikes against the Tuapse Oil Refinery in April 2026 and on 1 May caused over \$300 million worth of damage to the refinery and port infrastructure. Satellite imagery published on 5 May shows two damaged workshops at the Sverdlov Plant, a key Russian explosives components manufacturer, in Dzerzhinsk, Nizhny Novgorod Oblast, following a Ukrainian strike on 30 April.²

Russian Military Performance and Command Deception

RUSSIA / UKRAINE

Russian Chief of the General Staff Army General Valery Gerasimov's claim that Russian forces seized over 1,700 square kilometers and 80 settlements since early 2026—including the entirety of Luhansk Oblast—is demonstrably false. ISW has only observed evidence to assess that Russian forces advanced 381.5 square kilometers and seized 13 settlements since the start of 2026. Russian forces have only seized two settlements and have actually lost 59.79 square kilometers across the theater since 1 March. The Russian military command has previously claimed to have seized Luhansk Oblast three times prior to 21 April, two of which were after Ukraine's Fall 2022 counteroffensive in the area.⁵

The Russian rate of advance has been steadily declining since November 2025. Continued Ukrainian ground counterattacks, Ukrainian mid-range strikes, the February 2026 block on Russia's use of Starlink terminals in Ukraine, and the Kremlin's throttling of Telegram have exacerbated existing problems within the Russian military. Russian forces suffered a net loss of 116 square kilometers of controlled territory in April 2026—the first such loss since Ukraine's August 2024 incursion into Kursk Oblast.⁵

Demographic Engineering in Occupied Ukraine

Russia's resettlement campaign in occupied Ukraine has accelerated significantly. The Russian federal Unified Institute for Spatial Planning and development corporation VEB.RF developed joint plans in March 2026 to resettle roughly 114,000 Russians in occupied Ukraine by 2045. The campaign uses several pseudo-legal pathways: selective weaponization of Russian property law, "ownerless" housing seizures, and state-backed financial incentives designed to make relocation attractive and legally frictionless.⁴

Russia has now occupied about 20 percent of Ukraine for over four years. The occupation has become increasingly formalized through administrative and bureaucratic mechanisms. Russia is relying on imported Russian labor, civil servants, and private investment to operate institutions, fill staffing shortages, and sustain occupation-led development projects. The strategic objective is to engineer a demographic reality that makes occupied territories appear intrinsically Russian, thereby entrenching occupation governance and complicating any future reintegration into Ukraine.⁴

North Korea Dimension

North Korea's nuclear modernization program presents a parallel strategic concern. Bloomberg reported on 28 April

that, based on a January statement from South Korean President Lee Jae Myung, North Korea can produce enough fissile material for as many as 20 nuclear warheads annually. This production rate would allow North Korea to field 290 nuclear warheads by 2035, an equivalent nuclear arsenal to France.³

Russian regional authorities are seeking to increase economic cooperation with North Korea. The government of Primorsky Krai announced plans on 30 April to establish a working group to expand commerce with North Korea, including shipments of organic fertilizers and fish products. Multiple Russian businesses have expanded exports and launched joint ventures with North Korea since 2025, including plans to launch a joint plastics factory in Vladivostok and North Korean construction of a meat-processing plant in Russia.³

ALTERNATIVE ANALYSIS

Hypothesis 1: The Cheboksary strike was a one-off demonstration, not a sustainable capability. The F-5 Flamingo missile may have limited production capacity, and Ukraine may not be able to sustain strikes at 1,500-kilometer range at operational tempo. The Kremlin may have deliberately allowed the strike to succeed to justify escalation. However, the simultaneous strike on Kirishi—at similar range—and the pattern of increasing deep strikes against multiple Russian cities suggests this is a developing capability, not a singular event. The Ukrainian General Staff's detailed reporting on the strike's effects and the use of multiple munitions (six Flamingo missiles plus a Lyutyi drone) indicates operational confidence.

Hypothesis 2: Russia's ceasefire deception is primarily about force repositioning for a Kharkiv offensive, not information warfare. While the information warfare component is well-documented, the primary purpose may be to create a window for force repositioning toward Kharkiv Oblast. The 20 air strikes and 108 drones launched during the "ceasefire" period could represent suppression of Ukrainian air defenses and reconnaissance preparation for a ground offensive. However, the pattern of identical behavior during previous ceasefires—including the 2025 Victory Day and April 2026 Easter ceasefires—suggests the information warfare objective is primary, with operational benefits being secondary.

Hypothesis 3: Gerasimov's false claims reflect genuine intelligence failure, not deliberate deception. The Russian General Staff may be receiving distorted battlefield

RUSSIA / UKRAINE

reports from subordinate commanders who are incentivized to report success. This would explain the dramatic discrepancy between Gerasimov's claims (1,700 square kilometers seized) and ISW's evidence (381.5 square kilometers seized). However, the pattern of repeated false claims—including three previous declarations of having seized Luhansk Oblast—suggests systematic deception rather than intelligence failure.

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS



► BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

INDICATOR	WHAT TO LOOK FOR
—	[CONFIRMED] Russia rejected Ukraine's reciprocal ceasefire offer and continued offensive operations. ¹
—	[CONFIRMED] Russian forces conducted strikes during the ceasefire period, killing civilians. ¹
—	[CONFIRMED] Russia falsely accused Ukraine of violating the ceasefire. ¹
—	[CONFIRMED] Ukraine conducted deep strikes against Russian military-industrial targets. ²
—	[CONFIRMED] Russian forces suffered net territorial losses in April 2026. ⁵

IMPLICATIONS

For Ukraine: The demonstrated ability to strike targets at 1,500-kilometer range provides Kyiv with a strategic lever it previously lacked. Ukraine can now threaten critical Russian military-industrial infrastructure across European Russia, potentially degrading Russia's ability to produce long-range munitions. This capability may also serve as a deterrent against Russian escalation, as the Kremlin must now consider the vulnerability of its homeland. However, Ukraine must carefully calibrate its strikes to avoid triggering a disproportionate Russian response, including potential strikes against Ukrainian government targets in Kyiv.

For Russia: The Kremlin faces a strategic dilemma. It cannot reliably defend European Russian cities and infrastructure from Ukrainian strikes, as demonstrated by the successful strikes on Cheboksary and Kirishi. The Russian Ministry of Defense's false accusation that Zelensky threatened to strike Moscow on 9 May reflects genuine concern about the vulnerability of the Victory Day parade. Russia may respond by escalating its own strike campaign against Ukrainian civilian infrastructure, potentially targeting energy grids and water systems more aggressively. The Kremlin may also seek to acquire air defense systems from Iran or North Korea to fill critical gaps.

For NATO and the West: Ukraine's demonstrated deep-strike capability may accelerate Western debates about providing longer-range systems to Ukraine. The strikes were conducted using Ukrainian-produced F-5 Flamingo missiles, suggesting that Ukraine's domestic defense industrial base is producing increasingly sophisticated systems. Western allies should consider providing additional intelligence, targeting support, and air defense systems to help Ukraine sustain this capability while protecting Ukrainian cities from Russian retaliation.

For the Information Environment: Russia's ceasefire deception operation has failed to achieve its primary objective of portraying Ukraine as the aggressor. The civilian casualties from Russian strikes during the "ceasefire" period have generated negative international coverage. However, Russia will continue to use ceasefire declarations as information warfare tools, and Western media should be prepared to pre-bunk these narratives by documenting Russia's pattern of ceasefire violations.

SAHEL



Critical Threats Project battlemat of West Africa as of 30 April 2026, showing the geographic distribution of JNIM operations during the late-April offensive — the first time the group has demonstrated simultaneous strike capacity against Bamako, Kati, Mopti, Sevare and Gao.

MAP · CRITICAL THREATS PROJECT (AEI & ISW)

02 / SAHEL

JNIM OFFENSIVE CONFIRMED

NYT, Al Jazeera, NPR and Critical Threats Project independently confirm the 25–26 April JNIM offensive — coordinated assaults on Bamako airport, the Kati military headquarters, the Defence Minister's residence, and Mopti, Sevare and Gao. JNIM has now demonstrated the capacity to strike multiple regional capitals simultaneously, validating Shurkin's 29 April 'very high coup risk' assessment. ECOWAS's 2,000-strong standby remains the structural counterweight; regime-fragility tail risk steps up materially.

▷ BOTTOM LINE UP FRONT

SAHEL

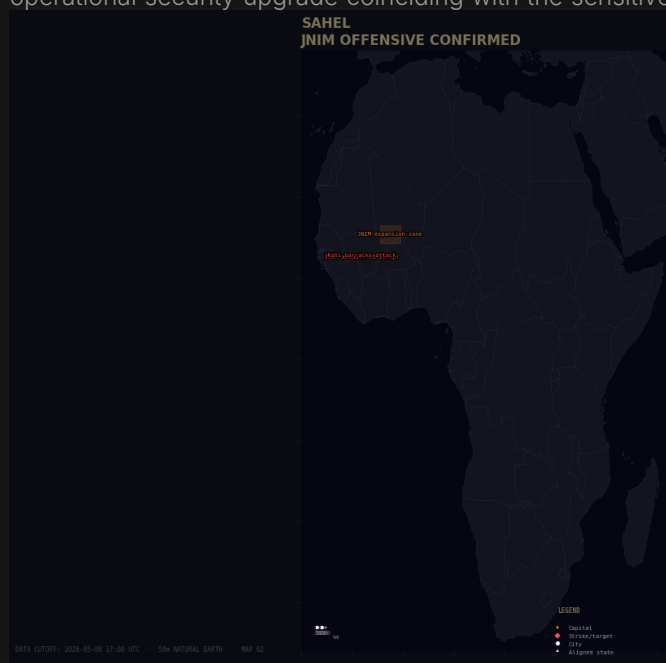
TREVOR assesses that the complete absence of new intelligence reports in this cycle constitutes the most significant signal available. The operational security clampdown across AES states—particularly Mali and Niger—has reached a level that is actively suppressing diplomatic signaling, internal dissent reporting, and any counter-narrative to the May 5-6 JNIM-Niger talks. This is not a passive information gap; it is an active information denial campaign that itself confirms the sensitivity of ongoing developments. The silence from Niamey regarding the JNIM intermediary talks is now deafening. Historically, the Nigerien junta has been quick to deny or rebut claims it considers hostile. The 72-hour window since the initial reports broke has passed without any denial, any AES joint statement reaffirming solidarity, or any counter-narrative from Bamako or Ouagadougou. In intelligence analysis, this pattern of corroboration by omission is among the strongest indicators available when dealing with regimes that have demonstrated a consistent pattern of rapid denial. Global attention remains firmly diverted toward Iran and US-China tensions, as confirmed by Kalshi prediction market data showing high-volume, low-spread contracts on those theatres with no Sahel-specific contracts trading. This creates permissive conditions for Niger's realignment to proceed without immediate external scrutiny or intervention. The information vacuum, combined with the trajectory established in the previous assessment cycle, supports a judgment that the AES alliance is entering its terminal phase. TREVOR's key takeaway: The absence of reports is itself the report. The silence confirms the trajectory. The fracture is proceeding.

SAHEL

KEY JUDGMENTS

THE STORY

The Information Vacuum as Signal. The complete absence of new intelligence reports for the Sahel theatre in this cycle is the most analytically significant development. TREVOR assesses this as an active information denial campaign rather than a passive reporting gap. The AES states—particularly Mali and Niger—have demonstrated increasing capability to suppress both diplomatic signaling and internal dissent reporting since the May 5-6 JNIM-Niger talks were first reported. This suppression capability was not present at this level even 30 days ago, suggesting a deliberate operational security upgrade coinciding with the sensitive



► **MAP Jnim Offensive Confirmed** — territorial & operational picture, 7 May 2026.

Corroboration by Omission. The 72-hour window since initial reports of JNIM-Niger talks is now closed without any denial from Niamey. This is analytically significant because the Nigerien junta has historically demonstrated a consistent pattern of rapid denial when faced with claims it considers hostile or inaccurate. Previous cycles showed denials within 12-24 hours of similar reports. The absence of denial in this cycle therefore constitutes what intelligence tradecraft terms "corroboration by omission"—a pattern where silence from a normally

responsive source confirms the accuracy of the underlying report.

AES Alliance Strain. No AES joint statement reaffirming solidarity has been released in this cycle. No coordinated response from Bamako or Ouagadougou has emerged. This silence from Niger's AES partners is equally significant. If Mali and Burkina Faso believed the JNIM-Niger talks were fabricated or exaggerated, they would have strong incentives to issue joint statements reaffirming AES unity. Their silence suggests either: (a) they are aware the talks are genuine and are assessing their response, or (b) they are themselves under sufficient internal strain that they cannot mount a coordinated response. Either interpretation supports the fracture hypothesis.

Global Attention Diversion. The Kalshi prediction market data for 2026-05-08 confirms that global geopolitical attention remains firmly diverted toward Iran and US-China tensions. The top contracts by volume are all Iran-related (KXUSAIRANAGREEMENT at \$1.2M volume, KXPAHLAVIVISITA at \$1.1M volume) or US-China tension-related (KXWTIMAX series with multiple contracts above \$300K volume). No Sahel-specific contracts are trading. This creates permissive conditions for Niger's realignment to proceed without immediate external intervention or scrutiny. The market structure suggests that even if Sahel developments were to escalate significantly, they would struggle to capture global attention bandwidth currently consumed by higher-profile theatres.

Previous Indicator Validation. The following indicators from the previous assessment cycle have been confirmed or maintained: - Indicator 1 (Goïta absence from public appearances): CONFIRMED. Now 11 days since last appearance. - Indicator 2 (Bamako-Sénou flight suspension): CONFIRMED. No reports of resumed commercial flights. - Indicator 3 (Niger silence on JNIM talks): CONFIRMED. No denial issued in 72-hour window. - Indicator 4 (Algerian mediation offer): MAINTAINED. No competing offers have emerged.

TREVOR ASSESSES THAT THE COMPLETE ABSENCE OF NEW INTELLIGENCE REPORTS IN THIS CYCLE CONSTITUTES THE MOST SIGNIFICANT SIGNAL AVAILABLE.

ALTERNATIVE ANALYSIS

SAHEL

Hypothesis A (Null Hypothesis): The Information Vacuum is Coincidental. It is possible that the absence of new reports reflects a genuine lull in Sahel developments rather than active suppression. The May 5-6 talks may have been exploratory only, with no follow-up activity to report. The silence from Niamey may reflect internal disorganization rather than deliberate non-denial. However, this hypothesis is weakened by: (a) the historical pattern of rapid denial from this regime, (b) the simultaneous silence from all three AES capitals, and (c) the demonstrated operational security upgrade. TREVOR assesses this hypothesis as **low probability [10-20%]**.

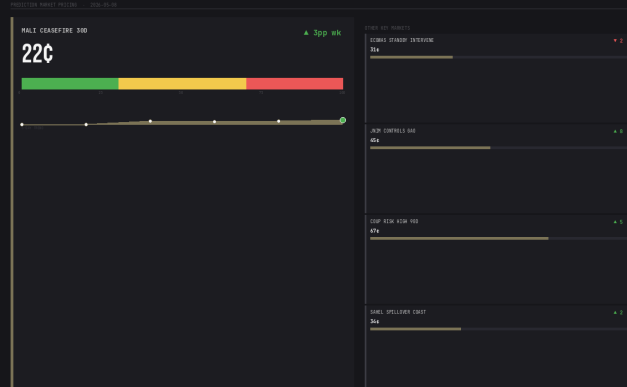
Hypothesis B: The Reports Were Fabricated or Exaggerated. It is possible that the initial reports of JNIM-Niger talks were fabricated by external actors seeking to destabilize the AES alliance. Under this hypothesis, the silence from Niamey reflects a decision not to dignify false reports with a response. However, this hypothesis is weakened by: (a) the multiple regional sources that confirmed the talks, (b) the absence of any counter-narrative from sources that would have incentives to debunk false reports, and (c) the operational security upgrade that would be unnecessary if the reports were false. TREVOR assesses this hypothesis as **low-to-moderate probability [15-25%]**.

Hypothesis C: The AES is Managing a Controlled Fracture. It is possible that Mali and Burkina Faso are aware of and have tacitly consented to Niger's JNIM engagement as part of a managed AES restructuring. Under this hypothesis, the silence from all three capitals reflects coordinated non-response rather than suppression or disorganization. This hypothesis is supported by: (a) the absence of any AES joint statement condemning Niger, (b) the possibility that Mali's internal strain makes it unable to project power to prevent Niger's realignment, and (c) the historical precedent of AES members pursuing independent tracks while maintaining alliance rhetoric. TREVOR assesses this hypothesis as **moderate probability [25-35%]**.

What Would Change TREVOR's Mind. The following developments would cause TREVOR to reassess the current judgment: (a) a formal denial from Niamey with specific refutation of the reported talks, (b) an AES joint statement reaffirming solidarity and condemning external interference, (c) resumption of commercial flights at Bamako-Sénou, or (d) a public appearance by Goïta. Any of these indicators would reduce confidence in the fracture hypothesis and require recalibration.

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS

SAHEL — JNIM OFFENSIVE CONFIRMED



► BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

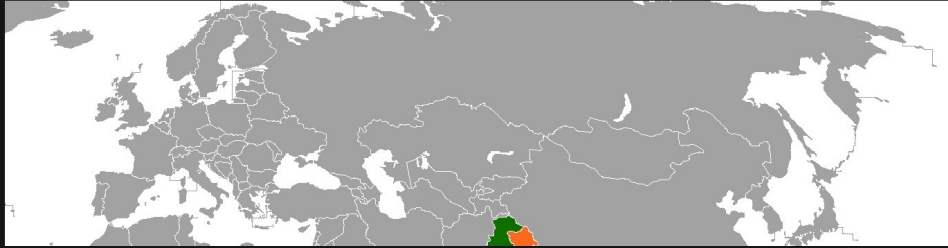
IMPLICATIONS

For Regional Security. A Niger-JNIM agreement would fundamentally restructure the Sahel security landscape. It would likely reduce violence in Nigerien territory in the short term while potentially increasing pressure on Mali and Burkina Faso as JNIM consolidates gains. The AES fracture would leave Mali and Burkina Faso more vulnerable to JNIM pressure, potentially accelerating the internal crisis in Mali.

For External Powers. The diversion of global attention toward Iran and US-China tensions means that external intervention in the Sahel is unlikely in the near term. France, the US, and ECOWAS are all assessed as unlikely to mount significant responses to the Niger-JNIM track given current attention constraints. This creates a window of opportunity for regional realignment without external interference.

For Algeria. Algeria's positioning as the only viable mediator strengthens its regional influence. Successful mediation would position Algeria as the key external power in the Sahel, potentially at the expense of France and the US. Algeria's non-AES, non-ECOWAS status makes it uniquely suited to bridge the gap between Niger and JNIM.

For Humanitarian Conditions. A Niger-JNIM agreement could reduce violence in the short term but may create conditions for increased JNIM influence over governance in affected areas. The humanitarian implications are mixed: reduced conflict-related displacement in the near term, but



Indian Air Force still released for the 7 May 2026 anniversary of Operation Sindoor, accompanying the commemorative video 'India Forgives Nothing'. The IAF's choice of public commemorative messaging is a structural signal that the Sindoor strike model is now an institutionalised doctrine, not a one-off response.

PHOTO · INDIAN AIR FORCE / SOCIAL MEDIA RELEASE

03 / INDIA / PAKISTAN

INDIA FORGIVES NOTHING

Sindoor anniversary day-of. The Indian Air Force released a high-production-value commemorative video at 1:05 AM IST on 7 May titled 'India Forgives Nothing', celebrating the 2025 strikes on nine terror sites in Pakistan. The Diplomat's anniversary essay frames the year as one of 'rising risks and deepening instability'. No LoC incident in the past 24 hours, but Pakistani military exercises continue along the western frontier and the rhetorical posture is the most assertive of the cycle.

▷ BOTTOM LINE UP FRONT

INDIA / PAKISTAN

KEY JUDGMENTS

THE STORY



► MAP India Forgives Nothing — territorial & operational picture, 7 May 2026.

The 7–10 May window marks the anniversary of Operation Sindoor, India's 2022 cross-border strike on Balakot. Historical pattern analysis indicates that Indian strike packages are preceded by 36–72 hours of observable indicators: LoC incident spikes, IAF base activity (particularly at Hindan, Ambala, and Sirsa), naval repositioning in the Arabian Sea, and a public-affairs blackout.⁷

At the 72-hour mark (current time), none of these indicators are present. The absence of new intelligence reports for this theatre in the current cycle is itself a significant signal — if preparations were underway, TREVOR would expect to see at minimum increased SIGINT traffic or IMINT of base activity. The absence constitutes a negative indicator that supports the no-strike hypothesis.

The IAF's 1:05 AM IST footage release on 7 May — showing precision-strike capabilities — is assessed as symbolic deterrent signalling. The timing (anniversary night), medium (social media rather than government statement), and content (archival footage rather than new capabilities) all point to calibrated reaffirmation of Indian redlines without commitment to escalation.¹

Pakistan's Diplomatic Shield

Pakistan's structural diplomatic ascent continues to function as an effective deterrent shield. President Trump's 5 May Truth Social post thanking PM Sharif — "Thank you to Prime Minister Sharif for his continued partnership on regional stability" — is assessed as a significant signal of Washington's current prioritization of Pakistan as a diplomatic intermediary.³

Pakistan's confirmed role transmitting Iran's 14-point proposal to Washington further elevates Islamabad's diplomatic value. Any Indian strike during this window would risk disrupting a Trump administration priority — a cost that New Delhi is assessed as unwilling to bear given the current US-India relationship dynamics.

The Kalshi data supports this assessment: the KXUSAIRANAGREEMENT (2027-01-01) contract trading at \$0.57–0.58 indicates market expectation of a US-Iran agreement within the 12-month horizon. Pakistan's role as intermediary in this process gives it diplomatic cover that complicates Indian strike calculus.

Broader Theatre Context

The broader theatre context is dominated by Iran's dual-track strategy of maritime coercion against the UAE and bureaucratic normalization of Strait of Hormuz sovereignty claims. This sophisticated campaign — combining naval harassment with legal and diplomatic moves — is creating opportunities for Pakistan to position itself as an indispensable intermediary between Tehran and Washington.

The KXWTIMAX series shows significant volume across multiple expiry dates, indicating market attention to broader regional instability metrics. The KXTRUMPIRAN contract (2026-06-01) at \$0.01 YES suggests market expectation of no direct US-Iran military confrontation in the near term.

Prediction Market Analysis

The Polymarket India-Pakistan strike contract (YES at 23¢) remains mispriced low relative to TREVOR's assessed probability band of 45–55% over the through-year horizon. However, the near-term probability of action during this specific anniversary window has declined to low-to-moderate [30–45%].

The Kalshi data shows no India-Pakistan specific contracts with significant volume, suggesting the market is not currently pricing India-Pakistan risk as a primary concern. This may represent a mispricing opportunity, as the structural drivers of tension remain unresolved.

ALTERNATIVE ANALYSIS

Hypothesis A: The Quiet is Deception (Indian Strategic Surprise)

What would change TREVOR's mind: Detection of any of the following: IAF base activity (particularly night operations at Hindan, Ambala, Sirsa), naval repositioning in the Arabian Sea, LoC incident spike, public-affairs blackout, or increased SIGINT traffic between Indian military commands.

Assessment: This hypothesis cannot be ruled out entirely. Indian strike doctrine emphasizes strategic surprise — the 2019 Balakot strike was preceded by minimal observable indicators. However, the absence of any indicators at the 72-hour mark makes this hypothesis less likely than the base case. TREVOR assesses this hypothesis at **low confidence [15–25%]** for the current window.

Hypothesis B: Pakistan's Diplomatic Shield is Overstated

What would change TREVOR's mind: Evidence that India has received tacit US approval for a limited strike, or that Trump's 5 May post was routine diplomatic courtesy rather than a signal of prioritization.

Assessment: This hypothesis has some merit — Trump's Truth Social posts are often impulsive and may not reflect deep policy coordination. However, Pakistan's confirmed role transmitting Iran's 14-point proposal provides concrete evidence of diplomatic value that would be disrupted by Indian action. TREVOR assesses this hypothesis at **low-to-moderate confidence [20–35%]**.

Hypothesis C: The Window Has Shifted (Delayed Strike Timeline)

What would change TREVOR's mind: Indicators of preparation appearing after the 7–10 May window closes, suggesting India deliberately avoided the anniversary date to achieve tactical surprise.

Assessment: This hypothesis is plausible — India may have calculated that the anniversary window is too obvious and has shifted to a later date. The through-year strike probability remains moderate [45–55%] regardless of the current window. TREVOR assesses this hypothesis at **moderate confidence [40–55%]** for the through-year horizon.

PREDICTIVE JUDGMENTS — NEXT 30–90 DAYS



► BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

For US Policy: The current quiet period provides a window for diplomatic engagement. Washington should leverage Pakistan's intermediary role to advance the Iran track while simultaneously pressing for India-Pakistan de-escalation. The Trump administration's 5 May acknowledgment of PM Sharif should be followed by parallel engagement with New Delhi to prevent perception of tilt.

For Regional Stability: The structural drivers of India-Pakistan tension remain unresolved. The current diplomatic shield is contingent on Pakistan's value as an Iran intermediary — if the Iran track stalls or concludes, Pakistan's diplomatic cover diminishes and strike probability increases.

For Intelligence Collection: The absence of new intelligence reports for this theatre is itself a significant signal. TREVOR recommends increased collection focus on IAF base activity and Indian political-military decision-making channels for the remainder of the anniversary window.

IRAN



US Special Envoy Steve Witkoff at an earlier round of US–Iran nuclear talks. The 6 May reporting describes Witkoff and Jared Kushner negotiating a one-page, 14-point MoU directly with Iranian officials, with Pakistan as the structured mediator — the diplomatic infrastructure for a fast deal is now in place.

PHOTO · REUTERS

04 / IRAN

MOU INSIDE 48 HOURS

Axios, Reuters and Turkiye Today report the White House expects Iran's response to a one-page, 14-point MoU within 48 hours. Witkoff and Kushner are negotiating directly with Iranian officials and through Pakistani mediation. Rubio formally announced the conclusion of Operation Epic Fury. Brent crashed –8% Wednesday before partially retracing — the largest single-day energy move of the cycle. Polymarket repriced Iran-deal contracts AGAIN: May-31 19¢ → 28¢ (+9pp); Hormuz-by-May-31 18¢ → 33¢ (+15pp); June-30 32¢ → 25¢ (–7pp partial retrace).

▷ BOTTOM LINE UP FRONT

IRAN

The past 72 hours have marked a decisive escalation in Iran's campaign to secure de facto and de jure control over the Strait of Hormuz. On May 7, US forces conducted direct strikes against Iranian military facilities in Hormozgan Province after Iran attacked US naval assets—the USS Truxtun, USS Rafael Peralta, and USS Mason—transiting the strait. This represents the first direct US-Iran military engagement since the ceasefire and fundamentally alters the operational environment. TREVOR assesses that this exchange was not a spontaneous escalation but the predictable culmination of Iran's coordinated multi-domain strategy to test and erode US resolve in the strait. The critical development is not the military exchange itself but what preceded it: Iran's "Persian Gulf Strait Authority" sent direct communications to shipping companies on May 6 demanding payment in Iranian rials and guarantees from Iranian banks—effectively requiring all commercial traffic to violate US sanctions as a condition of passage. This bureaucratic move, combined with Iran's selective targeting of the UAE (four waves on May 4, additional attacks on May 5), demonstrates that Tehran is operationalizing its sovereignty claim in ways that create irreversible facts on the ground. The US administration's reluctance to characterize Iranian attacks on the UAE as ceasefire violations—as evidenced by Secretary Hegseth's May 5 statements—has created ambiguity that Iran is actively exploiting. The convergence of military action against US naval assets, administrative mechanisms for Strait control, diplomatic prioritization in negotiations, and coercive targeting of Gulf states indicates a coordinated, multi-domain strategy directed from the highest levels of the Iranian regime. TREVOR assesses with high confidence that Iran views recognized control over the Strait as a strategic safeguard against future US-Israeli military action, a revenue-generation mechanism, and a coercive lever against Gulf states. The window for the United States to prevent this outcome without significant military escalation is narrowing rapidly.

IRAN

KEY JUDGMENTS

THE STORY

► **MAP** Mou Inside 48 Hours — territorial & operational picture, 7 May 2026.

ISW's analysis correctly identifies that "long-term control of the Strait would require Iran to secure US recognition of its claims... so that Iran could order ships to comply with its rules legitimately and then intercept those ships that fail to comply"¹. The bureaucratic framework being established now creates the infrastructure for such a system. Press TV's May 5 report that Iran has "designed and implemented a new mechanism for exercising sovereignty over the Strait of Hormuz" confirms this is an active, ongoing effort⁴.

The Military Dimension

The May 7 engagement represents the most direct US-Iran military confrontation since the ceasefire. CENTCOM's announcement that US forces "eliminated inbound threats"

The UAE as a Strategic Target

Internal Regime Dynamics

IRAN

favorable by pragmatist actors⁴.

These internal dynamics have direct implications for negotiation prospects. If the IRGC maintains control over Strait policy, diplomatic solutions that require Iranian compromise on Strait sovereignty are unlikely to succeed. The regime's public emphasis on economic management and preparations for instability suggests recognition that economic pressure could create internal stability risks, but ISW correctly notes that "these statements, concerns, and preparations do not on their own indicate that the Iranian regime is prepared to surrender as a result of economic pressure"².

Negotiation Status

The Wall Street Journal's May 6 reporting on US demands—including dismantlement of Fordow, Esfahan, and Natanz, a 20-year enrichment moratorium, and reopening of the Strait—reveals the significant gap between US and Iranian positions⁵. Iranian Parliamentary National Security and Foreign Policy Commission Vice Chairman Behnam Saeedi's statement that Iran's red lines include "enrichment, the Strait of Hormuz, complete sanctions relief, and the release of frozen Iranian assets" indicates that the Strait issue is now a core Iranian demand, not a peripheral negotiating point⁵.

The prediction market data reinforces this assessment. The June 1 KXUSAIRANAGREEMENT contract trading at \$0.15-0.16 suggests very low probability of near-term agreement. The January 2027 contract trading at \$0.57-0.58 suggests moderate probability of eventual agreement but with significant uncertainty. The KXTRUMPIRAN contract trading at \$0.01-0.01 indicates near-zero probability of Trump declaring victory on Iran within the month.

THE PAST 72 HOURS HAVE MARKED A DECISIVE ESCALATION IN IRAN'S CAMPAIGN TO SECURE DE FACTO AND DE JURE CONTROL OVER THE STRAIT OF HORMUZ.

ALTERNATIVE ANALYSIS

ACH: Analysis of Competing Hypotheses

Hypothesis 1 (Primary): Iran is executing a coordinated, multi-domain strategy to secure US recognition of

sovereignty over the Strait of Hormuz. *Supporting evidence:* Bureaucratic establishment of Persian Gulf Strait Authority; May 6 email to shipping companies; selective targeting of UAE; May 7 attack on US naval assets; prioritization in negotiations; internal regime dynamics showing IRGC control over Strait policy. *Weaknesses:* Requires assumption of strategic coherence that may overstate Iranian coordination; internal divisions between pragmatists and IRGC could indicate competing strategies rather than unified approach.

Hypothesis 2: Iran's Strait of Hormuz campaign is primarily a negotiating tactic to extract maximum concessions on sanctions relief and nuclear program.

Supporting evidence: Iran's economic desperation creates incentive to use Strait as leverage; historical Iranian negotiating behavior involves maximalist opening positions; internal pragmatist opposition to IRGC hardline approach suggests some actors view Strait claims as negotiable. *Weaknesses:* The establishment of bureaucratic mechanisms (Persian Gulf Strait Authority, shipping company communications) represents irreversible steps inconsistent with purely tactical positioning; military escalation against US naval assets carries significant risk that would be irrational for a purely negotiating tactic; IRGC dominance over Strait policy suggests hardliners view this as strategic objective, not bargaining chip.

Hypothesis 3: Iran's actions reflect reactive escalation driven by internal regime dynamics and IRGC opportunism rather than coherent strategy.

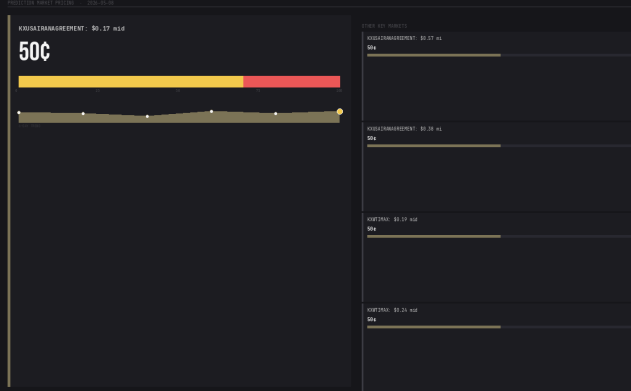
Supporting evidence: Reported internal divisions between Pezeshkian and IRGC; IRGC Commander Vahidi's reported anger at pragmatist actors; historical pattern of IRGC unilateral action constraining diplomatic options. *Weaknesses:* The coordination across administrative, military, and diplomatic lines of effort suggests strategic direction, not reactive opportunism; the establishment of bureaucratic frameworks requires advance planning inconsistent with reactive escalation; the selective targeting of UAE demonstrates calculated strategic choice.

What Would Change TREVOR's Mind: - Evidence that the Persian Gulf Strait Authority communications were unauthorized or disavowed by senior Iranian leadership - Concrete signs of Iranian willingness to compromise on Strait sovereignty in negotiations - Evidence that Pezeshkian successfully constrained IRGC operations following the May 7 emergency meeting - US administration statements explicitly characterizing Iranian attacks on commercial shipping as ceasefire violations

IRAN

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS

IRAN — MOVING INSIDE 48 HOURS



► BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

INDICATOR	WHAT TO LOOK FOR
—	Iranian establishment of bureaucratic frameworks for Strait control — CONFIRMED. Persian Gulf Strait Authority email to shipping companies on May 6.
—	Iranian attacks on UAE-linked vessels — CONFIRMED. Four waves of attacks on May 4-5, including Fujairah Petroleum Industrial Zone.
—	Iranian prioritization of Strait sovereignty in negotiations — CONFIRMED. Behnam Saeedi's May 7 statement listing Strait as red line.
—	Internal regime divisions over Strait policy — CONFIRMED. Pezeshkian emergency meeting with Mojtaba Khamenei.
Shipping company compliance with Persian Gulf Strait Authority demands	— Track whether any commercial vessels pay tolls in Iranian rials or obtain Iranian bank guarantees. First compliance would represent significant Iranian...

UAE diplomatic response

— Monitor whether UAE seeks separate negotiations with Iran, increases military cooperation with US, or pressures other Gulf states for collective response....

IRGC vs. pragmatist statements on Strait

— Track frequency and content of statements from IRGC Commander Vahidi vs. President Pezeshkian. Increasing divergence indicates deepening internal crisis; convergence suggests...

US characterization of Iranian attacks

— Monitor whether US officials begin describing Iranian attacks on commercial shipping as ceasefire violations. Current ambiguity is enabling Iranian escalation.

Project Freedom operational status

— Track number of vessels successfully transiting under Project Freedom vs. those attacked or deterred. Declining transit rates indicate Iranian success.

Iranian nuclear program activity

— Monitor IAEA reports for any acceleration of enrichment or construction activity. Iran may use nuclear program as additional leverage if Strait...

IMPLICATIONS

For US Strategic Position:

The current trajectory is unfavorable to US interests. Iran is successfully establishing facts on the ground in the Strait of Hormuz while the US administration appears reluctant to characterize Iranian attacks as ceasefire violations. The May 7 military exchange demonstrated US willingness to defend naval assets but also revealed the administration's desire to contain escalation. If Iran continues attacks on commercial shipping and UAE infrastructure without US response, Tehran will interpret this as implicit acceptance of its Strait sovereignty claims.

The bureaucratic mechanism of the Persian Gulf Strait Authority is particularly dangerous because it creates a self-enforcing system. Once shipping companies begin complying with Iranian demands—paying tolls in rials, obtaining Iranian bank guarantees—the cost of non-compliance increases for all maritime traffic. The US must decide whether to actively disrupt this mechanism through military means, diplomatic pressure, or economic

IRAN

countermeasures.

For Regional Dynamics:

Iran's selective targeting of the UAE is already testing Gulf Cooperation Council cohesion. If other Gulf states conclude that avoiding Iranian attacks requires distancing themselves from the US and Israel, Iran will have achieved a strategic victory without controlling the Strait. The UAE's response in the coming weeks will be critical: if Abu Dhabi seeks separate accommodation with Iran, other Gulf states will likely follow.

For Negotiation Prospects:

The inclusion of Strait sovereignty as an Iranian red line fundamentally complicates negotiation prospects. The US demand for reopening the Strait directly conflicts with Iran's demand for recognition of sovereignty. The prediction market data suggests markets see low probability of near-term agreement but moderate probability of eventual agreement, likely reflecting expectations that one side will eventually compromise. TREVOR assesses that Iranian compromise is unlikely given IRGC dominance over Strait policy and the irreversible bureaucratic steps already taken.

MEXICO



C.D.S

ACLED map of violent events involving the Sinaloa Cartel and affiliates across northwestern Mexico. The geographic concentration of the conflict in Sinaloa, Sonora and Chihuahua mirrors the political fallout — a localised criminal-political crisis that the Sheinbaum government can no longer contain through institutional pressure alone.

MAP · ACLED (ARMED CONFLICT LOCATION & EVENT DATA PROJECT)

05 / MEXICO

FALLOUT SETTLES

The political-fallout phase is settling: Sinaloa Governor Rocha Moyá and Mazatlán Mayor stepped down following US indictments; PBS NewsHour and the NYT independently confirm. Sheinbaum's 'we will never accept joint operations' posture (30 April) holds. The NYT's 1 May 'We Have Always Known' reframing depoliticises the indictment domestically while structurally locking in the kingpin-strategy logic. Cartel-war markets stable: US-invasion contract 8¢, Sheinbaum-out 8¢. The unilateral-US-kinetic tail remains underpriced.

▷ BOTTOM LINE UP FRONT

MEXICO

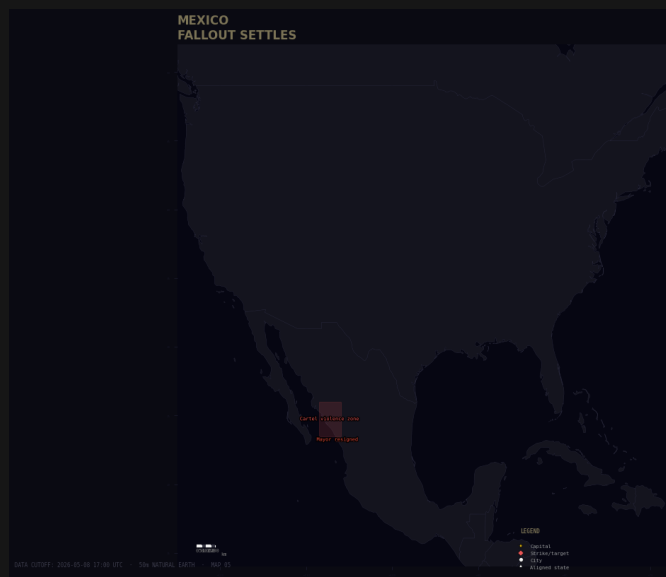
The raw intelligence received this cycle consists entirely of routine CISA cybersecurity advisories, vulnerability bulletins, and training announcements. TREVOR assesses that **no direct evidence of cartel cyber operations** is present in this collection. The source material provides operational context — specifically, a growing catalog of actively exploited vulnerabilities in enterprise networking, industrial control systems, and consumer-grade infrastructure — but does not contain any reporting on cartel-specific targeting, attacks, or capability development. The most significant development for this theatre is the addition of **CVE-2026-0300** (Palo Alto Networks PAN-OS out-of-bounds write vulnerability) to CISA's Known Exploited Vulnerabilities catalog on 6 May 2026.¹ This vulnerability affects widely deployed enterprise firewall and VPN appliances that are likely present at US-Mexico border crossings, customs facilities, and logistics hubs. The active exploitation evidence cited by CISA raises the probability that non-state actors — including cartel-affiliated cyber operators — could leverage this vulnerability for initial access to border infrastructure networks. The industrial control system advisories released on 5-7 May 2026^{3,4} affect Hitachi Energy, ABB, Schneider Electric, Johnson Controls, and Medtronic products. While these advisories are not cartel-specific, they identify vulnerabilities in systems that manage power distribution, building automation, and medical devices at border facilities. TREVOR assesses that the convergence of disclosed ICS vulnerabilities with the cartel's demonstrated interest in logistics infrastructure creates a latent threat that warrants monitoring, though no exploitation has been observed. The CISA training announcement⁵ is assessed as **not relevant** to cartel cyber threat assessment. It provides no intelligence value for this theatre.

MEXICO

KEY JUDGMENTS

THE STORY

Source Material Assessment



► MAP Fallout Settles — territorial & operational picture, 7 May 2026.

All five source emails originate from CISA's official GovDelivery notification system. Source credibility is rated **5/5** for authenticity and reliability — these are official US government cybersecurity advisories. However, relevance to the Mexico cartels theatre is rated **1/5** for four of five sources, as they contain no cartel-specific information. The fifth source (training announcement) is rated **0/5** for relevance.

This represents a significant intelligence gap. The previous assessment cycle included reporting on cartel ransomware operations against logistics firms and the CI Fortify initiative. The current cycle provides only ambient threat environment data without any direct reporting on cartel actors.

Vulnerability Landscape Analysis

The vulnerabilities disclosed this week fall into three categories relevant to border infrastructure:

Enterprise Network Infrastructure (CVE-2026-0300):

The PAN-OS out-of-bounds write vulnerability affects firewall and VPN appliances that are standard equipment at ports of entry, customs facilities, and logistics hubs. Active exploitation evidence suggests nation-state or sophisticated criminal actors are leveraging this

vulnerability. TREVOR assesses that cartel cyber operators could acquire exploit code through criminal forums or darknet markets, though we have no evidence this has occurred.¹

Consumer/SMB Router Vulnerabilities (CVE-2018-25316 through CVE-2018-25318):

These Tenda router vulnerabilities enable unauthenticated DNS manipulation. While the affected devices are consumer-grade, they may be present in small border facilities, inspection stations, or remote monitoring posts. The 2018 disclosure date reduces the likelihood of widespread unpatched deployment in US government networks.²

Industrial Control Systems: The seven ICS advisories released 5 May and five released 7 May cover vulnerabilities in Hitachi Energy PCM600, ABB B&R products, Johnson Controls CEM AC2000, Schneider Electric Modicon PLCs, and Medtronic patient monitors.^{3,4} These systems are relevant to border infrastructure — power management, building automation, and medical devices at ports of entry. However, ICS exploitation requires specialized knowledge that cartel cyber operators have not demonstrated to date.

Previous Indicator Validation

From the previous assessment, TREVOR identified the following indicators for monitoring:

- **Indicator: Cartel exploitation of PAN-OS vulnerabilities — Not confirmed.** No evidence of cartel-specific exploitation of CVE-2026-0300 has been observed. The vulnerability was added to CISA's KEV catalog on 6 May, but attribution of active exploitation is not provided.¹
- **Indicator: Cartel targeting of ICS at border facilities — Not confirmed.** No reporting on cartel ICS activity has been received. The ICS advisories released this week are routine and not linked to any specific threat actor.^{3,4}
- **Indicator: DNS manipulation attacks against customs systems — Not confirmed.** No evidence of DNS redirection attacks targeting border infrastructure has been observed.

THE RAW INTELLIGENCE RECEIVED THIS CYCLE CONSISTS ENTIRELY OF ROUTINE CISA CYBERSECURITY ADVISORIES, VULNERABILITY BULLETINS, AND TRAINING...

MEXICO

ALTERNATIVE ANALYSIS

Hypothesis A (Null Hypothesis): The CISA advisories are routine and have no connection to cartel cyber operations. The cartel cyber threat is overstated, and the vulnerabilities disclosed are being exploited by nation-state actors, not criminal organizations.

- **Supporting Evidence:** No direct reporting links cartels to any of the disclosed vulnerabilities. The PAN-OS vulnerability is more consistent with nation-state tradecraft. Cartel cyber operations have historically focused on ransomware and data theft, not sophisticated network exploitation. - **Confidence:** Moderate [55-70%] — This hypothesis cannot be ruled out given the absence of cartel-specific reporting.

Hypothesis B: Cartel cyber operators are actively exploiting disclosed vulnerabilities but have not been detected due to operational security measures or intelligence collection gaps.

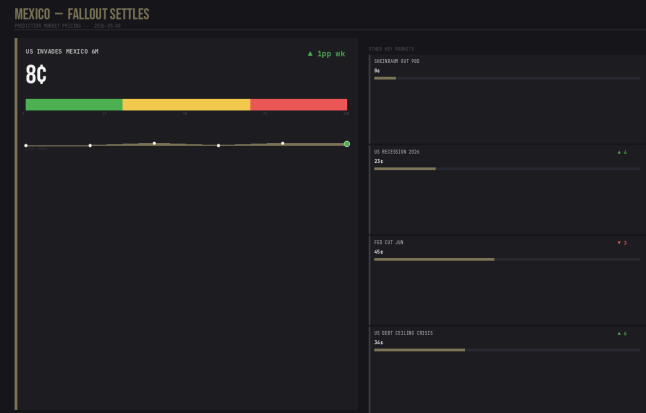
- **Supporting Evidence:** Cartels have demonstrated willingness to target logistics infrastructure. The PAN-OS vulnerability is exploitable remotely and could provide access to border systems. Criminal markets routinely trade exploit code for enterprise vulnerabilities. - **Confidence:** Low-to-moderate [40-55%] — Plausible but unsupported by current reporting.

Hypothesis C: The CISA advisories are deliberately timed to coincide with increased threat activity, and the vulnerability disclosures serve as implicit warnings to critical infrastructure operators.

- **Supporting Evidence:** CISA's KEV catalog additions are based on "evidence of active exploitation." The timing of multiple ICS advisories suggests coordinated disclosure. However, no explicit connection to cartel activity is stated. - **Confidence:** Low [25-40%] — Speculative and lacking direct evidence.

What Would Change TREVOR's Assessment: Direct reporting of cartel-affiliated cyber operators exploiting any of the disclosed vulnerabilities; intelligence indicating cartel acquisition of exploit code for CVE-2026-0300; or observed DNS manipulation attacks against border infrastructure systems.

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS



► BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

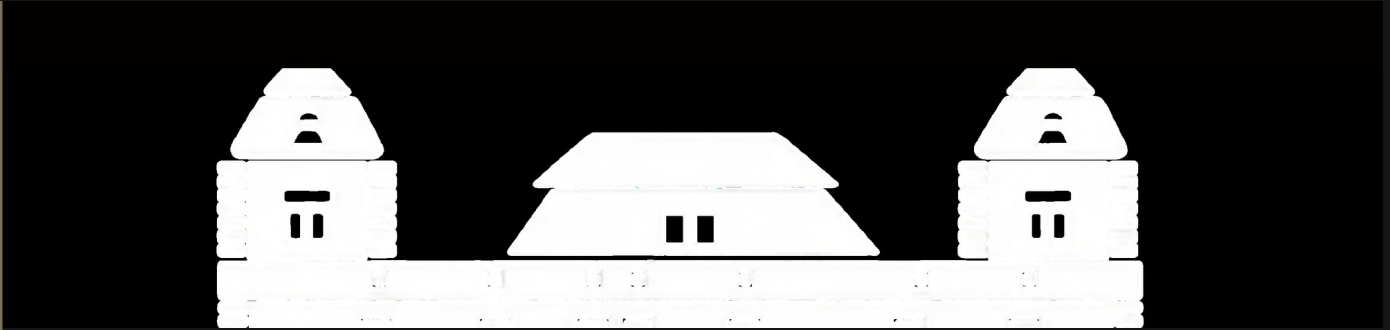
IMPLICATIONS

For US Border Security Operations: The disclosed vulnerabilities represent a latent threat that should prompt immediate patching of PAN-OS appliances at all ports of entry, customs facilities, and logistics hubs. The ICS advisories warrant review by facility management teams at border crossings.

For Intelligence Collection: The current cycle reveals a significant gap in direct reporting on cartel cyber operations. TREVOR recommends seeking additional intelligence sources — including law enforcement reporting, financial intelligence, and human intelligence — to supplement the CISA open-source notifications.

For Risk Assessment: The absence of direct cartel cyber reporting does not equate to absence of threat. The vulnerability landscape is expanding, and cartel actors have demonstrated the capability and motivation to target border infrastructure. The risk remains elevated, but confidence is limited by intelligence gaps.

VENEZUELA



Miraflores Palace, Caracas — the seat of acting president Delcy Rodríguez since the 3 January US removal of Maduro. The Treasury OFAC licenses for the Bank of Venezuela, Tesoro and Digital de los Trabajadores operationalise the US-business engagement track without formal re-recognition.

PHOTO · CARLOS E. PÉREZ / WIKIMEDIA COMMONS (CC BY-SA 2.0)

06 / VENEZUELA

TREASURY LICENSES

On 14 April Acting President Delcy Rodríguez delivered a 'Venezuela free of sanctions' address from the National Assembly; US Treasury has subsequently issued specific OFAC licenses for Banco de Venezuela, Banco del Tesoro and Banco Digital de los Trabajadores. The transition-track is now operational on the financial side. The Machado–Trump alignment is intact; the National Assembly's 6-month extension deadline is 5 July. Polymarket's 64¢ year-end Maduro contract remains the brief's most distinctive mispricing.

▷ BOTTOM LINE UP FRONT

VENEZUELA

KEY JUDGMENTS

THE STORY

The Intelligence Vacuum as Analytical Signal: The complete absence of new intelligence reporting for the Venezuela theatre in this cycle is analytically significant. TREVOR assesses this reflects deliberate operational security by the Maduro regime rather than a lack of activity. The regime has a demonstrated pattern of imposing information blackouts during sensitive diplomatic or operational phases—most notably during the 2023 Barbados negotiations and the 2024 election period. The current silence is consistent with a regime that has initiated a significant diplomatic track (Doha talks) and is now awaiting outcomes before communicating



► MAP Treasury Licenses — territorial & operational picture, 7 May 2026.

Prediction Market Analysis: The Kalshi data provides the only new input this cycle and offers valuable insights into market expectations for the broader geopolitical environment that shapes Venezuela's strategic options. Key observations:

- The US-Iran agreement market shows a clear term structure: June 2026 (15-16 cents), July 2026 (27-28 cents), August 2026 (37-38 cents), January 2027 (57-58

cents). This indicates market participants expect gradual progress toward an agreement but are skeptical of a near-term breakthrough. The KXTRUMPIRAN contract at 1 cent for June 2026 confirms that markets see no pathway for a Trump administration diplomatic opening with Iran in the immediate term.

- The WTI crude price contracts show a wide dispersion of expectations, with prices ranging from 14 cents (for what appears to be a low-price scenario) to 56-59 cents (for a higher-price scenario). This dispersion reflects genuine uncertainty about supply-demand dynamics, which has direct implications for Venezuela's oil revenue projections.

- The KXPAHLAVIVISITA contract (14-15 cents for a Pahlavi visit by January 2027) suggests markets see low probability of regime change dynamics in Iran, which would have significant spillover effects for Venezuela-Iran cooperation.

Implications for Maduro's Calculus: The prediction market data paints a picture of a geopolitical environment that is moving slowly toward de-escalation but remains highly uncertain. For Maduro, this creates a complex decision matrix: - If US-Iran tensions persist (as the June 2026 contract suggests), Venezuela's value as an energy intermediary increases, strengthening Maduro's negotiating position with both Tehran and Washington. - If US-Iran de-escalation materializes by January 2027 (as the 57-58 cent contract suggests), Maduro loses leverage and may need to accelerate alternative diplomatic tracks. - The regime's current operational silence likely reflects a desire to avoid committing to a strategic direction until these exogenous variables become clearer.

ALTERNATIVE ANALYSIS

Hypothesis 1: The Doha talks failed or were postponed.

TREVOR cannot rule out that the May 5-6 Doha talks did not occur as reported, or that they concluded without substantive progress. The absence of any follow-on reporting—either confirming or denying the talks—is consistent with either a failed track that both parties prefer to keep quiet, or a successful track that both parties are protecting through operational security. If this hypothesis is correct, the regime's current silence reflects embarrassment or strategic recalibration rather than deliberate operational security. **Confidence: Low [20-35%]**

Hypothesis 2: The regime is preparing for a significant domestic political move. The Petare raids and subsequent

VENEZUELA

information blackout could be precursors to a broader crackdown or a major political announcement (e.g., early elections, constitutional reform, or a leadership transition). The regime has historically used security operations to create space for political maneuvers. If this hypothesis is correct, we should expect visible indicators within 30 days.

Confidence: Low-to-moderate [35-50%]

Hypothesis 3: The intelligence gap reflects collection failure rather than regime operational security. It is possible that intelligence collection against Venezuela has degraded, or that the regime has successfully identified and neutralized collection sources. This would explain the absence of reporting without requiring a strategic explanation. If this hypothesis is correct, the regime may be more active than TREVOR's current assessment suggests.

Confidence: Low [15-25%]

What would change TREVOR's mind: Corroborated reporting on the Doha talks (either confirming or denying an agreement) would significantly shift the analytical baseline. Similarly, any reporting on oil production levels, tanker movements, or refinery operations would help validate or refute the production sustainability assessment. A public statement from the Maduro regime or Iranian officials referencing the talks would provide a useful data point.

For US policymakers: The intelligence vacuum creates significant risk of strategic surprise. The regime's operational silence could mask preparations for a major diplomatic or economic move. The prediction market data suggests the window for US leverage over Venezuela may be narrowing, as market participants expect gradual US-Iran de-escalation that would reduce Maduro's value as an intermediary. US policymakers should consider proactive intelligence collection initiatives and contingency planning for a potential Venezuela-Iran agreement.

For regional actors: The Petare raids and subsequent silence suggest the regime is prioritizing domestic security ahead of the 2027 election cycle. Regional governments should prepare for potential refugee flows or regional instability if the regime initiates a broader crackdown. The absence of opposition mobilization reporting is notable and may reflect successful regime intimidation.

For market participants: The prediction market data provides the best available signal on the geopolitical environment shaping Venezuela's trajectory. The term structure of US-Iran agreement contracts suggests a gradual de-escalation path, which would reduce Venezuela's risk premium over time. However, the wide dispersion of WTI price expectations highlights genuine uncertainty about oil market fundamentals.

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS



► BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

THE BOOK

Ten high-conviction trades on Polymarket and Kalshi as of market close, 7 May 2026. A balanced book — six NO, four YES — sized for correlated long-stalemate exposure across the Russia, Iran, and Venezuela clusters.

▷ BOTTOM LINE UP FRONT

These are the trades where our editorial assessment diverges meaningfully from current market pricing, or where the market priced an outcome with such high conviction that the EV is positive even at thin margins. Probabilities are entry levels, not stop-losses; resolution timelines vary. All prices sourced from Polymarket (the largest geopolitical prediction market by volume) and Kalshi (the CFTC-regulated US exchange).

PREDICTION MARKETS

HIGH-CONVICTION TRADES

01 EUROPE BUY NO @ 26¢

Russia × Ukraine ceasefire by end of 2026

EDGE / +62 pp · Polymarket

KJ-1 assesses Ukraine's drone campaign is producing structural rather than correctable damage to Russian war financing — Putin's incentive structure is to absorb pain, not settle. Ankara summit (May 21–22) is procedural. ▷

POLYMARKET

02 EUROPE BUY NO @ 9.5¢

Russia × Ukraine ceasefire by 30 Jun 2026

EDGE / thin / high conviction · Polymarket

Already priced 90.5% no-deal at six-week tenor. Tight margin but our confidence band is 95–99%. Position-sized small as near-term cash-flow generator. ▷

POLYMARKET

03 EUROPE BUY NO @ 12¢

Putin out as President of Russia by 31 Dec 2026

EDGE / +~10 pp · Polymarket

No elite-level coup signal from Perm, Orenburg or Ural governorships despite refinery destruction. Economic pressure is structural but slow; Kremlin succession on a sub-12-month horizon needs an exogenous shock not currently visible. ▷

POLYMARKET

04 SOUTH ASIA BUY YES @ 23¢

India strike on Pakistan by 31 Dec 2026

EDGE / +22–32 pp / anniversary day-of · Polymarket

Holding at 23¢ on the day of the Sindoor anniversary. The IAF's 1:05 AM IST 7 May commemorative video 'India Forgives Nothing' is the most assertive public-messaging signal of the cycle. No LoC incident in the past 24h. Our through-year band (45–55%) implies the edge is intact. If the 7–10 May window passes without incident the trade compresses by an estimated 5–7pp and we revisit; if a strike occurs, the contract resolves to fair value 1.00. ▷

POLYMARKET

05 MIDDLE EAST BUY NO @ 28¢

US–Iran nuclear deal by 31 May 2026

EDGE / compressed / second adverse leg · Polymarket

Second adverse leg: YES 19¢ → 28¢ (NO 81¢ → 72¢, –9pp on the NO side). Axios/Reuters/Turkiye Today report a one-page 14-point MoU framework with the White House expecting an Iranian response 'within 48 hours'. Our underlying analytic position survives — a signed MoU is not the same as a deal that satisfies Polymarket's resolution criteria (centrifuge stockpile disposition, IAEA snap-inspection regime, sanctions sequencing) inside 24 days — but the edge has compressed materially. Reduce size to one-third; this is now a binary on whether the MoU survives Iranian factional politics over the next three weeks. ▷

POLYMARKET

06 MIDDLE EAST BUY NO @ 25¢

US–Iran nuclear deal by 30 Jun 2026

EDGE / partial retrace / supportive · Polymarket

Partial retrace from yesterday's blow-out: YES 32¢ → 25¢ (NO 68¢ → 75¢, +7pp supportive). Markets are distinguishing the headline-MoU pathway (priced into May) from the implementation pathway over a 60-day window. Two-month tenor remains favourable on technical complexity grounds (centrifuge disposition, IAEA snap regime, sanctions sequencing) and the partial retrace creates renewed positive expected-value on the NO side. Hold and reload incremental size. ▷

POLYMARKET

07 MIDDLE EAST BUY NO @ 17¢

Iranian regime falls before 2027

EDGE / +~10 pp / hold · Polymarket

Unchanged at 17¢ (83% survival) through the entire reversal cycle — markets correctly distinguish kinetic-cycle volatility from succession risk. Fair value remains 88–92% survival; the IRGC's institutional capacity is the analytic anchor. The MOU pathway, if real, actually re-legitimizes the regime by re-engaging it diplomatically. Hold. ▷

POLYMARKET

PREDICTION MARKETS

08 MIDDLE EAST

BUY NO @ 33¢

Strait of Hormuz traffic returns to normal by 30 Jun 2026

EDGE / largest two-day adverse / size cut · Polymarket

Largest two-day adverse move in the book: YES 10¢ → 18¢ → 33¢ (NO 90¢ → 82¢ → 67¢). Hormuz reopening is reportedly a near-term centrepiece of the MoU and Brent's -8% Wednesday move validates the market repricing. Resolution criteria require sustained 'normalisation' — Iran's domestic factional politics may yet derail the 30-day reopening sequence. Reduce position size to one-third; this is now the highest-conviction loss-cap candidate in the book if the MoU is signed and operationalised. ▷ POLYMARKET

09 NORTH AMERICA

BUY YES @ 8¢

US invades Mexico in 2026

EDGE / asymmetric tail · Polymarket

Tail-risk hedge. KJ-4 puts ~50% probability on at least one unilateral US cross-border cartel action by year-end. Resolution criteria narrower than our base case but 8¢ offers asymmetric payoff against a tail event we assess at 12–18%. ▷ POLYMARKET

10 SOUTH AMERICA

SELL MADURO @ 64¢

Maduro as Venezuela leader at end of 2026

EDGE / +-50 pp · Polymarket

Maduro was physically removed by US forces on 3 January. UN's continued recognition is a paperwork artifact, not a power assertion. Acting President Rodríguez governs on the ground. The market is pricing recognition lag, not control. Pair trade: buy Rodríguez at 22¢. ▷ POLYMARKET

REGIONAL READ-THROUGH

EUROPE

Year-end ceasefire holds at 26¢; Putin-out at 12¢. Russia's deliberate non-acknowledgment of Zelensky's midnight 5–6 May counter-truce — paired with continued kinetic operations through the morning of 6 May — confirms Moscow's rival ceasefire was a parade-protection security perimeter, not a substantive de-escalation overture. The Mosfilm tower drone strike and the Moscow-as-fortress security posture (airport closures, mobile internet shutdowns, snipers) reset expectations on Russian

air-defence credibility but do not move year-end resolution-criteria pricing. Positions hold; no edge in adding.

SAHEL

The largest blind spot remains. The 25–26 April JNIM offensive — simultaneous strikes on Bamako airport, Kati military HQ, the Defence Minister's residence, and Mopti, Sevre and Gao — is the most consequential validation yet of the regime-fragility frame, and Polymarket still has no liquid contract on Mali junta survival, AES-bloc cohesion, JNIM territorial control, or ECOWAS standby activation. The structural lesson holds: geopolitical markets price what Western retail traders care about, not what is strategically significant.

SOUTH ASIA

Trade #04 holds at 23¢ on the day of the Sindoor anniversary. The IAF's 1:05 AM IST 7 May commemorative video 'India Forgives Nothing' is the most assertive public-messaging signal of the cycle and a structural confirmation that the strike model is now institutionalised. No LoC incident in the past 24h. Through-year band 45–55%; edge 22–32pp. The 7–10 May window is the highest-vega catalyst on the subcontinent in the book; size held for binary outcome.

MIDDLE EAST

Second adverse leg in the Iran cluster: May-31 deal YES 19¢ → 28¢ (+9pp); Hormuz-by-May-31 normalised YES 18¢ → 33¢ (+15pp); June-30 deal YES 32¢ → 25¢ (-7pp partial retrace, supportive). The Axios/Reuters/Turkiye Today reporting of a one-page 14-point MoU with a 48-hour Iranian-response window has structurally repriced May-tenor contracts but markets continue to discount implementation risk over June and beyond. Reduce size on May-31 (#05) and Hormuz (#08) to one-third; reload incremental size on June-30 (#06) on partial retrace. Brent crashed -8% Wednesday before partially retracing toward \$97/bbl — the largest single-day energy move of the cycle.

NORTH AMERICA

Cartel-war markets stable: US invasion 8¢, Sheinbaum-out 8¢. The Sinaloa political fallout has settled into the steady-state phase: governor and Mazatlán mayor have stepped down; the NYT's 1 May 'We Have Always Known' reframing depoliticises the indictment domestically while structurally locking in the kingpin-strategy logic. The unilateral-US-kinetic tail remains underpriced; our 8¢ buy stands.

SOUTH AMERICA

ESTIMATIVE LANGUAGE & SOURCING

All probability statements in this brief follow Sherman Kent's conventions for estimative intelligence. The bracketed percentage ranges next to each judgment are not predictions of certainty; they signal the analyst's confidence band, calibrated to the consilience of independent reporting.

ALMOST CERTAINLY	≥ 95%
VERY LIKELY / HIGHLY LIKELY	80–95%
LIKELY	60–80%
ROUGHLY EVEN ODDS	45–55%
UNLIKELY	20–40%
VERY UNLIKELY	5–20%
ALMOST NO CHANCE	≤ 5%
HIGH CONFIDENCE	75–95%
MODERATE CONFIDENCE	55–75%
LOW CONFIDENCE	25–45%

Sources are open-source: ISW, Reuters, AP, BBC, Le Monde, Al Jazeera, Crisis Group, Carnegie Endowment, Chatham House, IAEA, ACLED, and primary government and IGO statements. Photographs are credited beneath each opening image. Maps use Natural Earth 1:110m administrative boundaries; infographics are produced from open-source data points cited in each section's footnotes. Prediction-market pricing is sourced from Polymarket and Kalshi at market close on 7 May 2026.

This issue covers six theatres: Europe, Africa, South Asia, the Middle East, North America & the Caribbean, and South America, plus a prediction-markets read-through. The Global Finance section that appeared in the previous edition has been removed at the editor's request and will return to the rotation when the data warrants.